

Directive (EU) 2024/1619 amends Directive 2013/36/EU (CRD) to strengthen the EU banking supervisory framework. The reforms focus on four core areas: supervisory powers, sanctions and enforcement, third-country branches, and the integration of environmental, social and governance (ESG) risks into prudential supervision. The overarching objectives are enhanced financial stability, supervisory convergence, and proportional application across institutions.

First, the Directive reinforces the **independence and integrity of competent authorities**. Member States must ensure supervisors and their staff are free from political and economic influence. New safeguards address conflicts of interest, including cooling-off periods, restrictions on trading financial instruments issued by supervised entities, limits on tenure, and annual declarations of interests. These measures recognise supervisory integrity as a prerequisite for effective prudential oversight.

Second, supervisory powers are expanded in relation to **material operations**. Institutions must notify competent authorities in advance of mergers, divisions, material asset or liability transfers, and acquisitions of material holdings. Mergers and divisions are automatically considered material and require a prior positive supervisory opinion before completion. Supervisors may oppose operations that raise prudential or anti-money laundering concerns. This framework strengthens ex ante intervention and reduces reliance on corrective action after risks have crystallised.

Third, the Directive establishes a **harmonised EU framework for third-country branches**, replacing fragmented national regimes. Third-country banks providing core banking services in the EU must generally operate through an authorised branch or subsidiary, subject to limited exemptions such as reverse solicitation. Branches are classified as class 1 or class 2 based on size, complexity, and risk. Class 1 branches, including those with assets of at least EUR 5 billion or significant retail deposit activity, face enhanced prudential, reporting, and governance requirements. Supervisors may require conversion into a subsidiary or impose restructuring where systemic risks arise. This reform ensures consistent oversight of third-country banking groups operating in the EU.

Fourth, the Directive significantly strengthens **sanctions and enforcement**. Competent authorities must have powers to impose administrative penalties, periodic penalty payments for ongoing breaches, and other corrective measures. Periodic penalty payments may apply daily and can be imposed on institutions as well as responsible individuals, including senior management and key function holders. Sanctions must be effective, proportionate and dissuasive, while avoiding excessive cumulative punishment where criminal penalties also apply.

Fifth, the **fit-and-proper framework** is expanded and harmonised. Suitability assessments now explicitly cover senior management and key function holders such as heads of risk, compliance and internal audit. Large institutions must submit ex ante suitability applications for certain senior appointments. Institutions are also required to maintain statements of responsibilities and mappings of duties to strengthen accountability and governance clarity.

Finally, ESG risks are fully integrated into the **prudential supervisory framework**. Institutions must identify, manage and plan for ESG risks over short, medium and long-term horizons, with

priority given to climate and environmental risks. Supervisors must incorporate ESG risks into supervisory review processes and stress testing, supported by EBA methodologies. This marks a shift from disclosure-focused sustainability rules to enforceable prudential risk management.

Overall, Directive (EU) 2024/1619 materially enhances supervisory intervention powers, harmonises enforcement, tightens oversight of third-country banks, and embeds ESG risks into core banking supervision, while maintaining proportionality for smaller institutions